CASCADIA ANALYTICS

Palo Alto Networks, Inc.

Equity Research Note | PANW | 21 OCTOBER 2026

Platformization at Scale

Palo Alto Networks, Inc. screens as a Hold, Valuation Concerns with a $137.10 blended target, 61% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$351.38	$137.10	-61%	HOLD, VALUATION CONCERNS

Investment Thesis

Platformization at Scale. NGS ARR at $9.1B growing 63% proves enterprises are consolidating on PANW's platform; $21.2B RPO (+34%) locks in multi-year visibility [Research]. Cash Machine Inflecting. 38.4% FCF margins heading to 40%+ with net cash on the balance sheet; software mix shift structurally expands margins [Research, Mkt 18-Oct-26]. Reasonable Entry After Derating. DCF suggests fair value near $135.58 vs $351.38 spot on the rebuilt GAAP-margin build; the market is pricing in growth above even our Bull

- Platformization at Scale
- Cash Machine Inflecting
- Reasonable Entry After Derating

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The latest print

Cash Machine Inflecting. 38.4% FCF margins heading to 40%+ with net cash on the balance sheet; software mix shift structurally expands margins.

Reasonable Entry After Derating. DCF suggests fair value near $135.58 vs $351.38 spot on the rebuilt GAAP-margin build; the market is pricing in growth above even our Bull case, so we would wait for a materially better entry into a wide-moat compounder.

$11.48B	$9.1B	$21.2B	$4.24B	70.4%	Net cash $1.3B
REVENUE (FY26)	NGS ARR	TOTAL RPO	FREE CASH FLOW (FY26)	GROSS MARGIN	NET DEBT POSITION

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (FY26)	$11.48B	+24.5% YoY	Up
NGS ARR	$9.1B	+63% YoY	Up
Total RPO	$21.2B	+34% YoY	Up
Free Cash Flow (FY26)	$4.24B	38.4% FCF margin	Up
Gross Margin	70.4%	Software mix	Stable
Net Debt Position	Net cash $1.3B	$1.77B debt vs $3.07B cash and current investments	Strong

The moat

Platformization: consolidating fragmented security stacks into unified AI-native platform; NGS ARR $9.1B +63% YoY proves the motion is working.

The growth engine

GenAI security tailwind: AI-driven workflows expanding the TAM; enterprises need new security for AI deployments.

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Palo Alto Networks, Inc. valuation framework

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	16.5%	$24.64B	13.0%	**$117.84**	-66%
Base	50%	19.5%	$27.98B	17.0%	**$135.58**	-61%
Bull	25%	23.0%	$32.32B	20.0%	**$159.40**	-55%

Bear: downside case at $117.84 (-66%).

Base: central case at $135.58 (-61%).

Bull: upside case at $159.40 (-55%).

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The probability-blended target implies 61% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -61% from the $351.38 reference price.

$137.10
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Valuation horizon	**2027-2031**
Live WACC	**8.51%**
WACC path (Year 1 to final year)	**8.51% to 8.21%**
Terminal growth	**2.5%**
Net cash	**$1.30B**
2031 FCF (Base)	**$7.47B**
10-year Treasury yield	**5.1%**
Beta	**0.93**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $137.10 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 47.1%. None

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Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$18.2B	$23.83	+0%	$47.4B	$59.49	+20%	$109.1B	$134.92
-19%	$19.1B	$24.99	+1%	$49.5B	$62.13	+21%	$113.4B	$140.19
-18%	$20.1B	$26.20	+2%	$51.8B	$64.87	+22%	$117.8B	$145.62
-17%	$21.2B	$27.47	+3%	$54.1B	$67.71	+23%	$122.4B	$151.24
-16%	$22.3B	$28.80	+4%	$56.5B	$70.65	+24%	$127.2B	$157.03
-15%	$23.4B	$30.18	+5%	$59.0B	$73.71	+25%	$132.0B	$163.00
-14%	$24.6B	$31.62	+6%	$61.6B	$76.88	+26%	$137.1B	$169.17
-13%	$25.8B	$33.13	+7%	$64.3B	$80.16	+27%	$142.3B	$175.52
-12%	$27.1B	$34.70	+8%	$67.1B	$83.56	+28%	$147.6B	$182.07
-11%	$28.4B	$36.34	+9%	$69.9B	$87.09	+29%	$153.2B	$188.82
-10%	$29.8B	$38.05	+10%	$72.9B	$90.74	+30%	$158.9B	$195.78
-9%	$31.3B	$39.83	+11%	$76.0B	$94.52	+31%	$164.7B	$202.95
-8%	$32.8B	$41.69	+12%	$79.2B	$98.43	+32%	$170.8B	$210.33
-7%	$34.4B	$43.62	+13%	$82.5B	$102.47	+33%	$177.0B	$217.94
-6%	$36.0B	$45.63	+14%	$86.0B	$106.66	+34%	$183.4B	$225.77
-5%	$37.7B	$47.72	+15%	$89.5B	$110.99	+35%	$190.0B	$233.83
-4%	$39.5B	$49.90	+16%	$93.2B	$115.47	+36%	$196.8B	$242.12
-3%	$41.4B	$52.16	+17%	$96.9B	$120.09	+37%	$203.7B	$250.65
-2%	$43.3B	$54.51	+18%	$100.9B	$124.88	**+38%**	**$210.9B**	**$259.43**
-1%	$45.3B	$56.96	+19%	$104.9B	$129.82			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$95.10B	—	2.5%	$1.30B	$96.39B	**$117.84**
Base	$109.61B	—	2.5%	$1.30B	$110.91B	**$135.58**
Bull	$129.09B	—	2.5%	$1.30B	$130.39B	**$159.40**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$117.84	$127.87	$134.64	$141.05	$147.02	$152.30
Base	$135.58	$147.12	$155.30	$163.09	$170.33	$176.72
Bull	$159.40	$172.96	$183.16	$192.97	$202.14	$210.09

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $137.10 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Platformization: consolidating fragmented security stacks into unified AI-native platform; NGS ARR $9.1B +63% YoY proves the motion is working.

GenAI security tailwind: AI-driven workflows expanding the TAM; enterprises need new security for AI deployments.

Vendor consolidation: macro scrutiny favors best-of-suite over best-of-breed; PANW's three-pillar suite (Strata/Prisma/Cortex) captures this.

RPO $21.2B +34% YoY provides multi-year revenue visibility; cRPO $9.3B covers near-term growth.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26
Revenue ($B)	5.50	6.89	8.03	9.22	11.48
Revenue growth %	29%	25%	16%	15%	25%
FCF ($B)	n/a	n/a	n/a	n/a	4.24
NGS ARR ($B)	n/a	n/a	n/a	5.6	9.1

Valuation cross-check

P/E (fwd) 70.1x

DCF Base $135.58

PEG 1.75

EV/Revenue 24.3x

DCF implies 61% downside at $351.38. Forward earnings price high growth; GAAP P/E (855x) is meaningless due to SBC-depressed earnings.

CRWD 141x fwd P/E, 42x EV/Rev

FTNT 45x fwd P/E, 16x EV/Rev

ZS 37x fwd P/E, 9.6x EV/Rev

PANW sits between FTNT's value and CRWD's hypergrowth premium; justified by superior FCF margins (37% vs CRWD 26%).

EV/Revenue 24.3x

Premium to historical software multiples

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Multiple reflects NGS hypergrowth; any deceleration would compress it toward the 15-18x mature software range.

What to monitor

Nov 2026. Q1 FY27 earnings. NGS ARR trajectory toward $10B+ milestone and platformization deal momentum in focus.

Ongoing. Large enterprise platform consolidation wins displacing point solutions (CRWD, ZS, FTNT) as CIOs cut vendor sprawl.

FY27. Progress toward 40% adjusted FCF margin target by FY28 (from 38.4% in FY26).

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$4.3B	$3.0B	$-304M	—
2022	$5.5B	$3.8B	$-189M	—
2023	$6.9B	$5.0B	$387M	$869M
2024	$8.0B	$6.0B	$684M	$1.3B
2025	$9.2B	$6.8B	$1.2B	$1.9B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$10.2B	$9.5B	$634M	$1.9B
2022	$12.3B	$12.0B	$210M	$2.1B
2023	$14.5B	$12.8B	$1.7B	$1.1B
2024	$20.0B	$14.8B	$5.2B	$1.5B
2025	$23.6B	$15.8B	$7.8B	$2.3B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$1.5B	—	$-1.1B	—
2022	$2.0B	—	$-807M	—
2023	$2.8B	$-146M	$-1.7B	$2.6B
2024	$3.3B	$-157M	$-1.3B	$3.1B
2025	$3.7B	$-247M	$-779M	$3.5B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $137.10 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 48 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.75% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $47.89M of sales, a net flow of -$47.89M. One-year total shareholder return is +60.2% against CEO total pay of $4.88M (Mr. Nikesh Arora C.F.A.), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.75% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $47.89M (19), net -$47.89M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +60.2%; Mr. Nikesh Arora C.F.A., Chairman & CEO, total pay $4.88M
Agency Risk Score	**48 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-01	Paul Joshua D.	Officer	SELL	400	$158.3K
2026-09-24	Golechha Dipak	Chief Financial Officer	SELL	27,500	$10.77M
2026-09-24	Bawa Aparna	Director	SELL	260	$102.1K
2026-09-17	Goetz James Joseph	Director	SELL	20,000	$7.53M
2026-09-15	Bawa Aparna	Director	SELL	1,500	$562.2K
2026-09-14	Key John Phillip	Director	SELL	2,500	$940.1K
2026-09-01	Paul Joshua D.	Officer	SELL	900	$336.3K
2026-08-25	Paul Joshua D.	Officer	SELL	900	$318.4K

SEC proxy audit, DEF 14A filed 2025-11-07

Alignment grade B. EQUITY CAPS LOWERED POST ENGAGEMENT. Nikesh Arora, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

In response to shareholder feedback, the Compensation Committee reduced maximum PSU payout caps by 33.3% (from 600% to 400%) and committed to no overlapping one-time equity awards for CEO Nikesh Arora. Program design was further tightened by requiring higher NGS ARR stretch targets and increasing the relative TSR modifier target to the 55th percentile rank. While summary compensation tables are omitted from the excerpt, pay governance demonstrates strong responsiveness amid 5-year TSR substantially outpacing both peers and the S&P 500.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1327567/000130817925000624/panw-20251107.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

IT spending cyclicality

Enterprise IT budget scrutiny in a macro slowdown could delay large platform deals and compress NGS ARR growth below the 22-23% guide.

Competitive intensity

CrowdStrike (endpoint), Zscaler (SSE), and Fortinet (SMB/mid-market) compete aggressively; pricing pressure or share loss in any pillar would hurt the platform narrative.

Elevated expectations

At 24x EV/Revenue and 70x forward P/E, the stock prices in sustained 20%+ growth. Any guide-down or NGS deceleration would likely trigger a sharp derating.

The strengths

Operating Quality

Elite 70% gross margins and a 38.4% reported adjusted FCF margin with a net-cash balance sheet. NGS ARR growing 63% confirms the software transition. GAAP operating margin was 6.1% in FY26, held down by stock compensation of $1.77B (15.5% o

Recent Trend

Four consecutive earnings beats. Revenue compounded from $5.5B (FY22) to $11.5B (FY26) with no deceleration. RPO up 34% provides forward visibility. FCF margin expanded to 38.4%.

Forward Growth

FY27 guidance calls for 23-24% revenue growth and 22-23% NGS ARR growth, credible given the RPO backlog and beat track record. Platformization, GenAI security, and vendor consolidation are structural multi-year drivers.

Valuation

DCF base $135.58 vs $351.38 spot implies 61% downside. Forward P/E 70x sits between FTNT (45x) and CRWD (141x); EV/Revenue 24x is a premium that demands flawless execution. PEG 1.75 is reasonable for the growth rate.

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Cascadia scorecard

Composite score 72: Attractive. Confidence High, as of 2026-10-18.

PILLAR	RATIONALE	SCORE
Operating Quality	Elite 70% gross margins and a 38.4% reported adjusted FCF margin with a net-cash balance sheet. NGS ARR growing 63% confirms the software transition. GAAP operating margin was 6.1% in FY26, held down by stock compensation of $1.77B (15.5% of revenue) and CyberArk acquisition amortization. Our rebuilt DCF bridge starts from that GAAP base and adds stock compensation back on its own line; on that build the cash generation is strong but the current price already pays for it.	82
Recent Trend	Four consecutive earnings beats. Revenue compounded from $5.5B (FY22) to $11.5B (FY26) with no deceleration. RPO up 34% provides forward visibility. FCF margin expanded to 38.4%.	78
Forward Growth	FY27 guidance calls for 23-24% revenue growth and 22-23% NGS ARR growth, credible given the RPO backlog and beat track record. Platformization, GenAI security, and vendor consolidation are structural multi-year drivers.	80
Valuation	DCF base $135.58 vs $351.38 spot implies 61% downside. Forward P/E 70x sits between FTNT (45x) and CRWD (141x); EV/Revenue 24x is a premium that demands flawless execution. PEG 1.75 is reasonable for the growth rate.	55
Catalysts & Risk	Near-term catalysts in NGS ARR milestones and Q1 FY27 print. Key risks are enterprise IT budget tightening, intensifying competition (CRWD/ZS/FTNT), and a multiple that leaves little room for disappointment at 24x sales.	65

Investment view

> [{'text': 'NGS ARR growth falling below 20% would break the platformization thesis and likely cut the target substantially.'}, {'text': 'Sustained 25%+ NGS growth with GAAP operating margin expanding toward the high teens and stock compensation intensity falling as a share of revenue would support a Bull-case rerating.'}]
>
> **Investment view: Hold, Valuation Concerns. The $137.10 blended target implies -61%, balancing the $117.84 / $135.58 / $159.40 Bear / Base / Bull outcomes.**

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